information and computer related services made up 4.26 per cent, 4.49 per cent and 4.71 per cent of the total GVA at current prices.

Two stylized facts are unmistakable. First, digital manufacturing in India is very small and its share in manufacturing is fluctuating. Second, digital services have a respectably large share and their share is growing.

GVA/GDP of the Indian digital economy thus makes up less than 5 per cent of the total economy. When you break this up in digital manufacturing and digital services value added, GVA from digital manufacturing in total GVA works out to be only 0.5 per cent, with the other 4 per cent being contributed by digital services. Global digital manufacturing GVA is about 5 per cent and the size of the digital economy, comprising digital manufacturing and digital services, is much larger. India has a long way to go despite our proven prowess in producing and delivering digital business services and writing software programs.

Digitalization of the Indian Economy

Agriculture and industrial economies began getting digitalized when their manual and mechanical processes improved with the addition of digital capital stock (hardware and connection to digital networks) and embedding of IT services. The capital expenditure of all traditional sectors of economy —agriculture, mining, manufacturing, construction and different services— on IT equipment is a good indicator of digitalization taking place in any of these sectors. Likewise, the operational expenditure on IT services by these traditional sectors can be an additional indicator of digitalization underway.

Data of capital expenditure is available for each sector of economic production, divided in four broad categories: dwellings, other buildings and structures; machinery and equipment; cultivated biological resources; and IP products. Capital expenditure on digital hardware and software is part of machinery and equipment.